A Study on Improving Profitability and Customer Inflow in a Beauty and Tailoring Business

A Final report for the BDM capstone Project

Submitted by

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1 Executive Summary

This project focused on a small, women-led service business that offers both beauty and tailoring services in a semi-urban locality. While the business had steady footfall, the owner struggled with low profitability, slow inflow of new customers, and frequent customer bargaining—especially in beauty services. These issues were affecting daily income, time efficiency, and future growth.

To investigate the challenges, a full year of transaction data (July 2024 to June 2025) was used for beauty services, and five months of data (February to June 2025) was considered for tailoring services, as tailoring was introduced later. The analyses were carried out separately for each category to account for their different timelines and growth stages. Descriptive statistics gave a broad overview of revenue patterns, while deeper analysis like Pareto charts, service-wise segmentation, monthly revenue trends, and customer-type breakdowns helped pinpoint specific problem areas. A separate revenue loss estimation was done to measure the financial impact of customer bargaining.

The findings revealed that a few key services were contributing the most to revenue, while others were underperforming. New customer inflow was more promising for tailoring than for beauty services. Importantly, over ₹32,000 in revenue had been lost due to bargaining in beauty services alone, while tailoring remained unaffected due to stricter pricing control.

Based on these insights, recommendations included introducing a smart fixed pricing strategy to reduce losses, promoting high-performing services as bundles or combos, and launching targeted promotional efforts to draw new customers. These changes have already started showing signs of improvement in the owner's decision-making, pricing control, and service focus, paving the way for sustainable business growth.

2 Detailed Explanation of Analysis Process/Method

Data Cleaning and Preprocessing:

The foundation of this project began with handwritten records maintained by the business owner. These notebooks contained essential details like the date of service, type of service, amount paid, and customer type (new or repeat). These raw entries, though informative, were not in a structure ready for analysis.

All data was manually entered into Excel after multiple visits and interactions with the owner to ensure the accuracy of interpretation. To support further analysis, a new column —

"Category" — was introduced to classify each service as either Beauty or Tailoring, based on the nature of the offering. Inconsistent service names were standardized, missing data points were clarified wherever possible, and date formats were made uniform.

In total, the cleaned dataset consists of 611 rows and 5 key columns, ensuring a streamlined and consistent structure for analysis. To avoid bias in comparisons, beauty and tailoring services were analyzed separately, considering their different timelines and maturity levels. The beauty service data spans July 2024 to June 2025, offering a full year of activity, whereas the tailoring service data starts from February 2025, when the owner began documenting tailoring transactions regularly.

This separation allowed for a fair and meaningful analysis of each business segment, respecting the difference in operational timelines and customer inflow. With these cleaning and preparation steps, the dataset was made ready for insightful and problem-specific analysis.

2 Detailed Explanation of Analysis Process / Method:

1. Low Profitability Despite Consistent Effort

To address the issue of low profitability, I analysed the Beauty and Tailoring services separately to ensure an unbiased view. The analysis began with **Descriptive Statistics** to understand the revenue trends, customer counts, and average income per service. This gave a clear snapshot of how each service was performing.

Following that, I applied the **Pareto Analysis (80/20 rule)** to identify which services were contributing the most to overall revenue. By arranging services in descending order of their revenue contribution and calculating cumulative percentages, I was able to highlight the top 20% of services that generated around 80% of the income. This helped focus attention on high-impact services.

This categorization added another level of clarity and helped identify services that consume effort but bring little financial return — a key insight in addressing the profitability challenge.

Justification: These three methods — Descriptive Statistics, Pareto Analysis were chosen because they directly relate to revenue analysis and profitability. They provide both a high-level and detailed view of which services bring value and where there is potential for improvement. Each method helped in breaking down the problem into actionable insights.

2. Lack of New Customer Inflow

The first analysis I conducted was a **Monthly Trend Analysis**. I summarized the monthly revenue from both beauty and tailoring services and plotted them over time. For beauty services, I used data from July 2024 to June 2025, while for tailoring services, I used February to June 2025, based on data availability. This helped visualize how customer visits and business performance varied across the year. A noticeable trend was the gradual drop or stagnation in new customer inflow over time, especially after the business stopped active promotions and marketing activities.

Next, I did a **Service-Based Segmentation: New vs Repeat Customers**. This was done to understand whether certain services were attracting new customers more than others, or whether repeat customers were dominating the business. I created segmented tables showing how many new vs repeat customers availed each service. This allowed me to spot services that primarily attracted loyal, repeat customers and those that still appealed to new clients. For instance, services like eyebrow threading and blouse stitching were popular among repeat customers, while new customers were fewer across most offerings.

I also performed a **Customer Type Comparison (New vs Repeat)** across the most common services, comparing usage patterns to understand customer loyalty and attraction levels. This helped identify which services might be useful for promotional campaigns to attract new customers, based on the kind of audience they currently reach.

Justification: Since the issue was about declining new customers, the focus was on identifying service-wise trends and customer types. Monthly trend analysis helped visualize the slowdown over time, while new vs repeat segmentation showed overdependence on loyal customers. These methods allowed me to recommend targeted service promotions and marketing strategies tailored to new customer acquisition.

3. Frequent Customer Bargaining

To explore the issue of frequent customer bargaining, I conducted a **pricing behavior analysis** by comparing the actual transaction amounts with the standard minimum and maximum price range listed for each service. This approach helped identify how often customers were charged below or above the suggested pricing. The classification of each transaction into “Within Range,” “Above Max,” and “Below Min (Bargain)” provided a clear structure for analyzing pricing consistency and potential revenue deviations.

Following this, I performed a **service-wise analysis** to find which services were most frequently affected by bargaining. To support this, I also broke down the **bargaining behavior** by **customer type (new vs. repeat)** to understand whether familiarity influenced pricing flexibility. Additionally, I conducted a **revenue loss estimation** to quantify the financial impact caused by customers paying below the minimum price. All of these methods were carried out separately for beauty and tailoring services to maintain clarity and avoid bias, since bargaining behavior was expected to differ between the two.

Justification: Classifying transactions by pricing behavior made it easier to quantify and visualize inconsistencies. A service-wise breakdown was necessary to identify specific problem areas, and customer-type segmentation helped explore possible behavioral patterns. The revenue loss estimation added a financial dimension to the problem, making the business impact more tangible. Overall, these methods helped uncover how bargaining affects earnings and where improvements can be made.

3 Results and Findings:

Problem statement 1: Low Profitability Despite Effort

Descriptive Statistics for Beauty Services (2024–2025)

2024-2025 Beauty service	
Total Revenue	214780
Average Amount Paid	407.5521822
Median Amount Paid	250
Minimum Amount Paid	40
Maximum Amount Paid	7000
Standard Deviation	531.0194341
Total Services Delivered	527
Unique Services Offered	43

Table 1 – Descriptive statistics (Beauty)

The Table 1 Descriptive statistics for beauty services between July 2024 and June 2025 offer a foundational view of business performance in this category.

While beauty services brought in decent revenue overall, most individual services earned quite low. The average looks good only because a few expensive services pulled it up, but in reality, many services were priced on the lower side. The huge difference between the lowest and highest paid amounts shows a lack of consistent pricing. Offering 43 different services also

hints that too much variety might be spreading time and effort thin, without boosting profits much.

Descriptive Statistics for Tailoring Services (2024–2025)

Feb - Jun 2025 Tailoring service	
Total Revenue	39430
Average Amount Paid	475.060241
Median Amount Paid	300
Minimum Amount Paid	4000
Maximum Amount Paid	40
Standard Deviation	657.7893938
Total Services Delivered	83
Unique Services Offered	14

Table 2 – Descriptive Statistics (Tailoring)

Tailoring services, though started recently, brought in a fair amount of revenue with fewer services delivered. However, the wide price variation—from very low to unusually high—suggests inconsistent pricing or data entry issues. The average earning looks decent, but the median shows that many services were done at lower rates. With only 14 services offered, the tailoring segment seems more focused, but pricing clarity needs improvement.

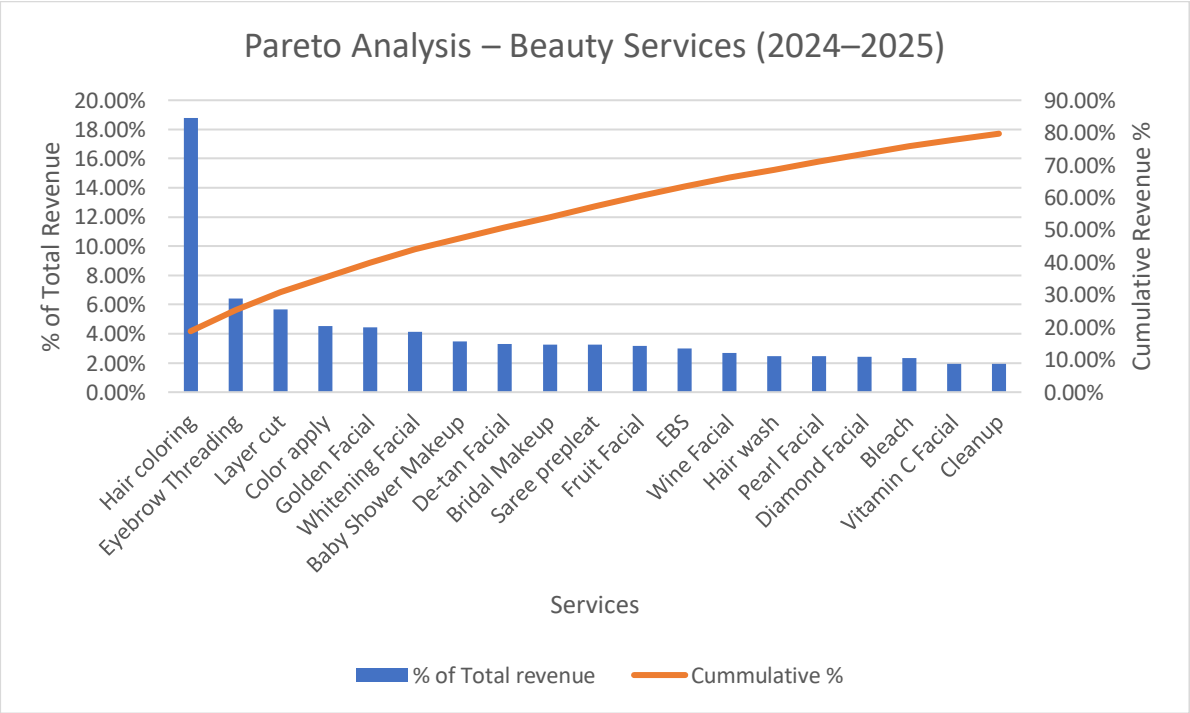

Figure 1 – Pareto Analysis (Beauty service)

The Figure 1 - Pareto chart highlights a significant revenue concentration in a limited set of beauty services. The top 10 services alone contribute 70.59% of the total beauty revenue, even though they make up just over half of all services offered. This imbalance indicates a clear reliance on a few high-performing services, while the rest contribute only marginally to the business's earnings.

Hair Coloring emerges as the top contributor, accounting for 18.45% of the total revenue from beauty services. Other high-revenue services include Eyebrow Threading (6.35%), Layer Cut (5.56%), and Color Apply (4.88%). These services consistently attract customers and yield strong returns, underscoring their central role in the business model.

On the other hand, a long tail of services exists that generates minimal income despite taking up operational effort. The bottom 8 services together contribute just 29.41% of the revenue, suggesting they may be underutilized, overpriced, or lack customer demand.

This analysis clearly shows that the business's profitability is heavily driven by a small group of services. Optimizing pricing, improving visibility, and bundling these high-impact services can lead to more sustainable revenue growth, while low-performing services may need to be reviewed for revision or removal.

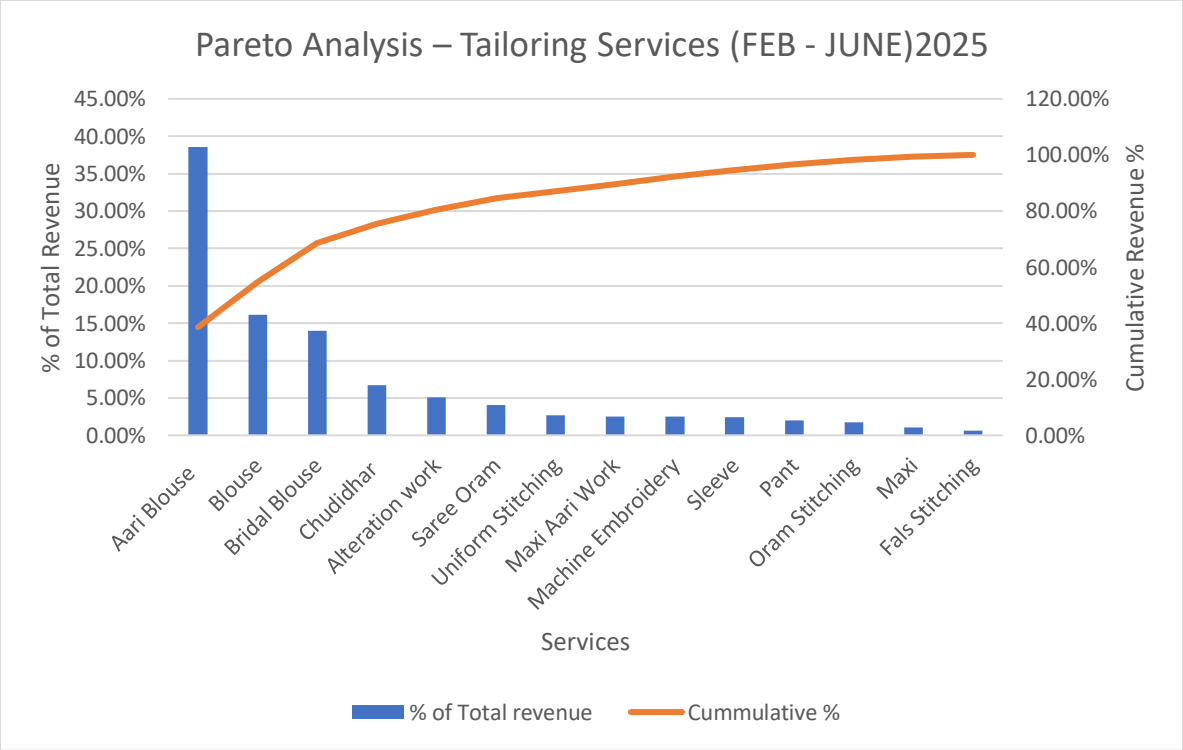

Figure 2 – Pareto Analysis (Tailoring service)

To identify the services that contribute most to revenue within the tailoring category, a Pareto Analysis was conducted using data from February to June 2025. The analysis ranks services based on their percentage contribution to total tailoring revenue and plots their cumulative contribution.

- The top three services alone – Aari Blouse, Blouse, and Bridal Blouse – account for over 65% of the total tailoring revenue during this period.
    - Aari Blouse alone contributes approximately 38%, making it the single most important tailoring service.
    - Blouse and Bridal Blouse follow with 16% and 13% respectively.
- The remaining 10 services contribute less than 35% combined, many of them with individually negligible contributions (<5%).
- The 80/20 principle (Pareto Principle) is clearly observed here: a small set of high-performing services is generating the majority of income.

Problem Statement 2: Lack of New Customers inflow

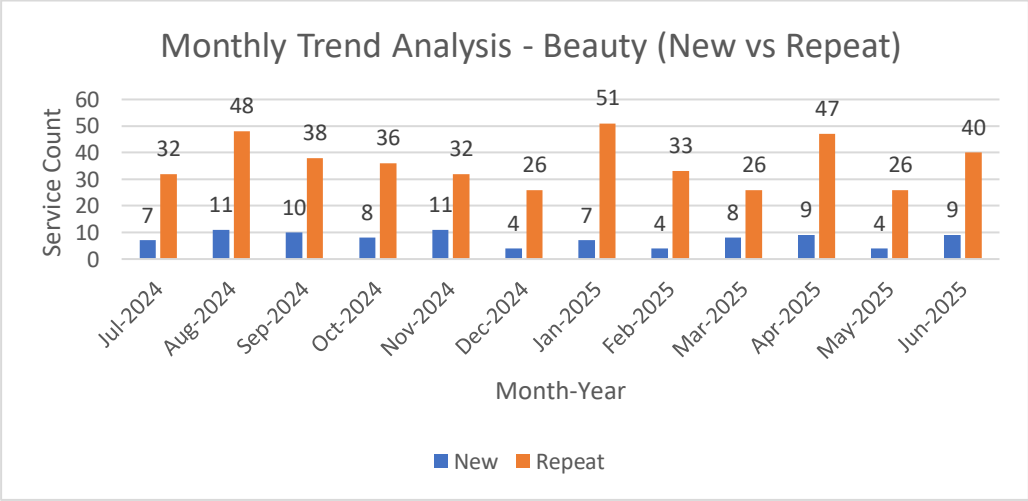

Figure 3 - Monthly Trend Analysis - Beauty (New vs Repeat)

This Figure 3 tracks how many beauty services were availed each month by new versus repeat customers between July 2024 and June 2025. It provides a clear visual indication of customer inflow behavior over time. From the chart, it is evident that repeat customers dominate most months, consistently contributing more to service counts. In contrast, new customer activity remains low and stagnant, with no significant upward trend across the year.

This directly supports the identified problem: despite stable engagement from existing customers, the business is struggling to attract a steady inflow of new clients. The absence of spikes or upward movement in the new customer line suggests that marketing, referral systems, or outreach efforts may be insufficient. Without addressing this imbalance, the business risks depending too heavily on its existing base and missing growth opportunities.

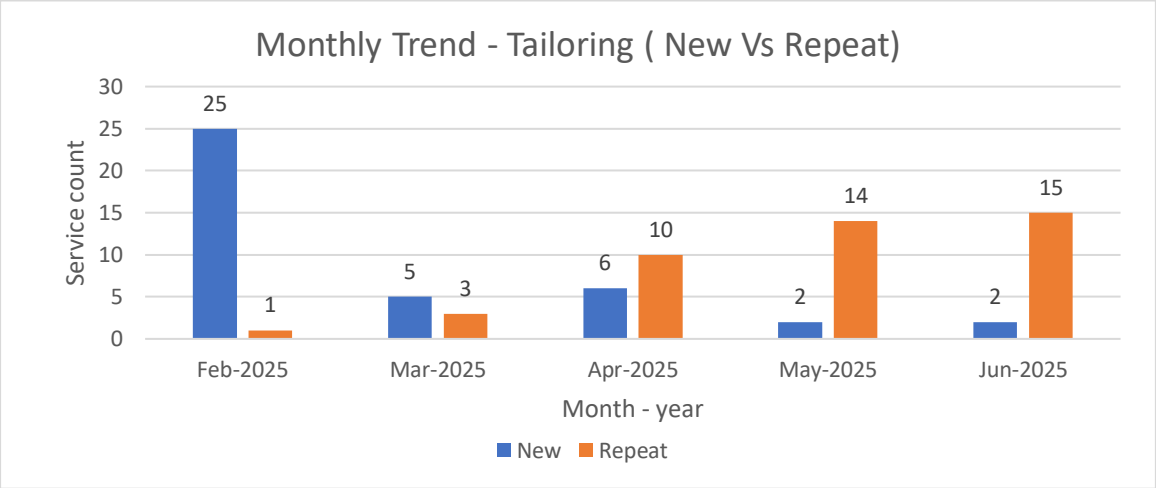

Figure 4 - Monthly Trend Analysis - Tailoring (New vs Repeat)

This chart shows how many tailoring services were availed by new and repeat customers from February 2025 (launch month) to June 2025. It helps track the early customer adoption and repeat behavior for the newly introduced service.

From the chart, we observe that:

- New customer counts were higher in the initial months, especially in February and March, indicating curiosity and interest during the service launch phase.
- However, from April onwards, there is a visible decline in new customer activity, while repeat customers gradually increased, suggesting some retention among early users.
- By June, new customer inflow remained low, failing to build momentum or grow over time.

This pattern indicates that while the tailoring service initially attracted new customers, the lack of continued promotion or outreach may have led to a drop in new inflow. Repeat usage increased slightly, but the limited acquisition of new clients suggests that the business did not fully capitalize on the initial launch period to establish a stable and growing customer base.

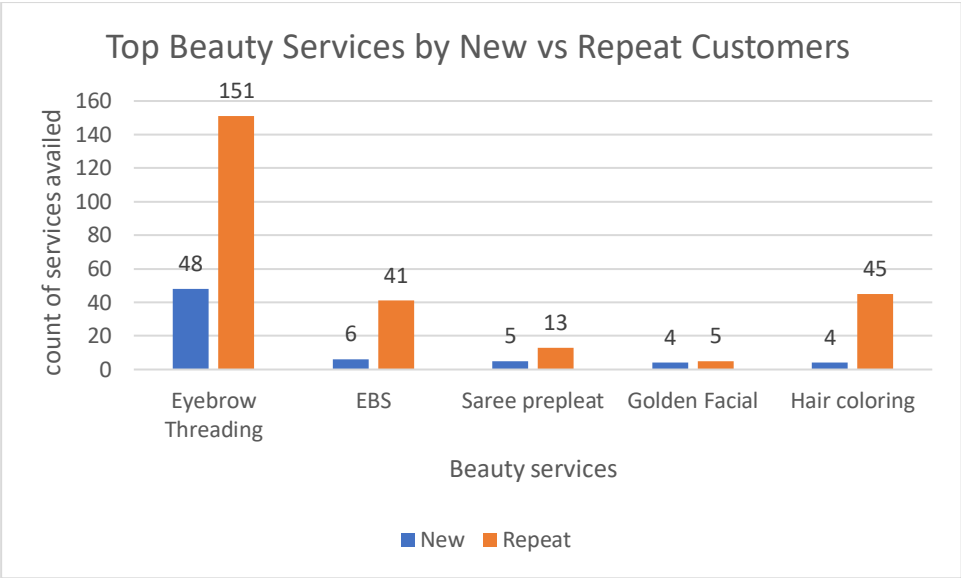

Figure 5 - Top Beauty Services by New vs Repeat Customers

A comparative bar chart(Fig 5) was created to analyze the top five most availed beauty services, segmented by customer type—new versus repeat. The chart revealed that Eyebrow Threading stands out as the most popular service for both groups, but with a stark difference: while 48 new customers opted for it, the number jumped to 151 repeat customers, showing a strong retention around this low-cost, frequent-need service. The same trend continues across other services like EBS (Eyebrow, Upperlip, Chin), Hair Coloring, and Saree Prepleat, where the count of repeat customers significantly outweighs that of new ones. Notably, new customers are not exploring a wide variety of services; instead, their visits are concentrated on a few basic offerings, primarily related to grooming.

This imbalance suggests that while the business has successfully built a loyal repeat customer base, it has struggled to attract or engage new customers beyond their first visit. The lack of upselling, or promotional efforts. This analysis reinforces the core problem: new customer inflow is limited, and even among those who do come, there's minimal conversion into broader or premium service engagement.

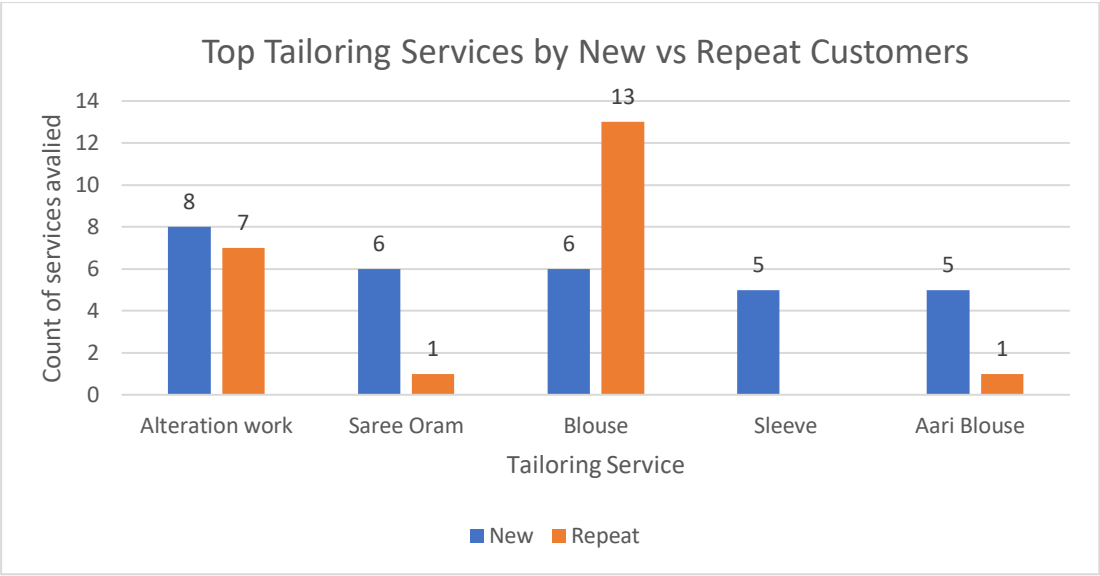

Figure 6 - Top Tailoring Services by New vs Repeat Customers

Unlike beauty, tailoring services show a balanced usage between new and repeat customers across popular services like Saree Falls and Blouse Stitching. This suggests new tailoring customers are more open to trying different services from their first visit. Though tailoring started only in February 2025, this trend shows potential for growth and better engagement from new customers.

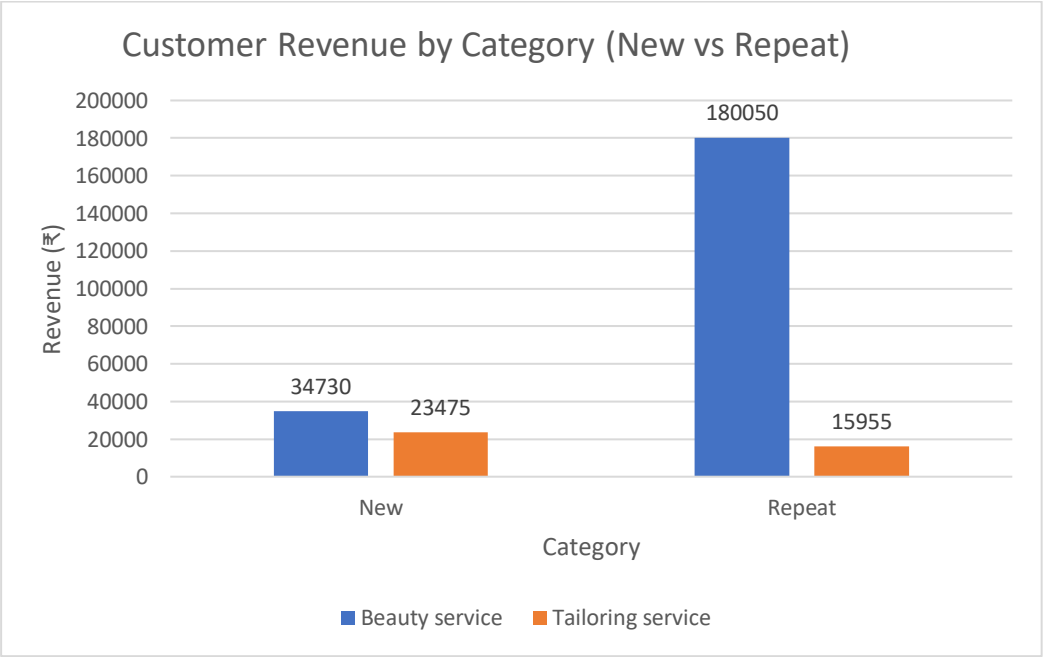

Figure 7 - Customer Revenue by Category (New vs Repeat)

The chart shows that repeat beauty customers generate the highest revenue (₹1,80,050), while new customers contribute much less across both services. Despite tailoring being new, new

tailoring customers already bring more revenue than repeat ones, showing initial traction. However, the huge gap between new and repeat revenue in beauty services highlights the challenge: attracting and converting new customers remains a major issue, especially for beauty services.

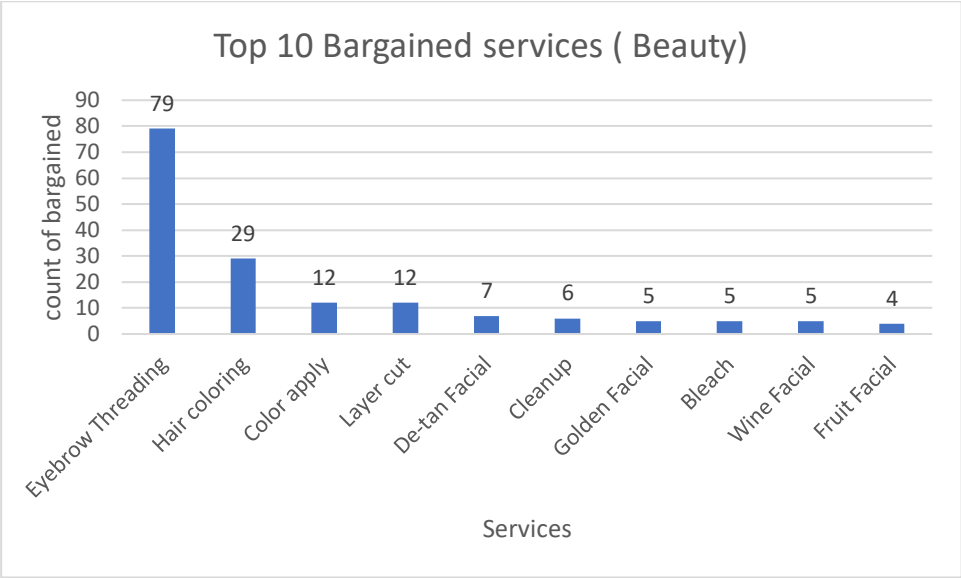

Figure 8 - Top 10 Bargained services (Beauty)

To understand how bargaining affects the business, I focused on the top 10 services where customers most frequently negotiated or received inconsistent pricing. These include everyday services like Eyebrow Threading, Hair Coloring, Facials, and Layer Cuts. I looked at how often these services were billed below the minimum price (due to bargaining or manual adjustments) or above the maximum price (possibly due to price confusion or upselling).

From the chart, Eyebrow Threading stands out the most, with 79 cases charged below the minimum price and 39 cases above the maximum. Similarly, services like Color Application, Hair Coloring, and Facials also show several instances of inconsistent pricing.

This pattern shows that price negotiation is quite common, especially in frequently used beauty services. While occasional flexibility can be helpful, this level of variation likely leads to unnoticed revenue loss and inconsistent customer experiences. These insights highlight the need to set a firm but fair minimum price, especially for commonly bargained services, to reduce losses without affecting customer satisfaction.

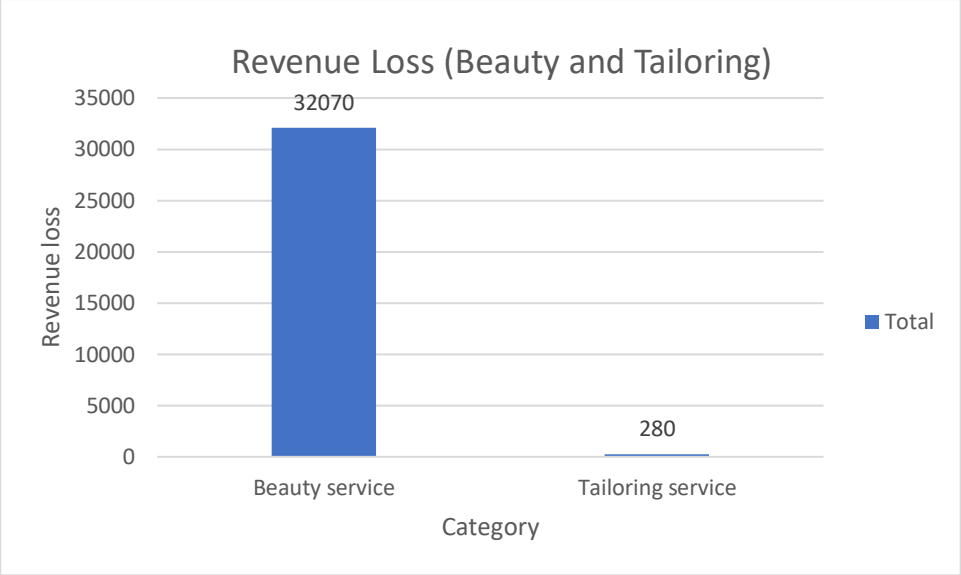

Figure 9 - Revenue Loss (Beauty and Tailoring)

To measure the impact of customer bargaining on overall income, I created a bar chart comparing total estimated revenue loss in both beauty and tailoring services.

The chart reveals a significant difference:

- Beauty services faced a loss of ₹32,070,
- Whereas tailoring services saw only ₹280 in potential loss.

This clearly reflects the owner's strict pricing policy in tailoring. Since tailoring involves precise work, material costs, and effort, the owner does not allow bargaining, ensuring prices are consistent and fair.

However, in beauty services, the prices are often negotiated or lowered, especially for routine or frequent services. This flexibility—although customer-friendly—has led to substantial revenue leakage.

These findings suggest that introducing a firm minimum pricing rule for beauty services, just like in tailoring, could help the business control revenue loss and improve profitability without significantly affecting customer retention.

4 Interpretation of Results:

Problem Statement 1: Low Profitability Despite Efforts

To investigate why profitability remained low, a descriptive statistics analysis was carried out separately for beauty and tailoring services. The results showed that while the number of beauty services delivered was high, the average revenue per service was relatively low. In contrast, tailoring had a much higher average price per service, even though the volume was smaller. This revealed a mismatch between effort and earning—more services didn't necessarily mean more profit.

Further, a Pareto Analysis helped identify the top 10 services contributing the most to revenue in both categories. In beauty services, common, low-cost services like Eyebrow Threading, Hair Spa, and Hair Trimming were heavily overrepresented. While these services drove volume, they offered lower margins, explaining why high effort didn't translate to higher profitability.

Additionally, an ABC analysis classified services based on revenue contribution. It revealed that a majority of services fell into lower revenue brackets, and only a small set (Category A) drove most of the income. This reinforced the need to optimize service focus and pricing strategy to improve profitability. Most of the effort went into services with limited returns.

Together, these findings highlighted that low pricing, combined with a focus on volume-heavy but low-value services, was the main reason behind low profitability.

Problem Statement 2: Lack of New Customer Inflow

To address the concern about stagnant customer growth, a monthly revenue trend analysis was conducted for both beauty and tailoring services. In beauty services, revenue fluctuations were noticed across months, but the overall pattern suggested a dependence on repeat customers, especially during stable months. Tailoring services, which were newly introduced in February 2025, showed gradual growth, indicating early-stage customer engagement.

A service-based segmentation was done to observe preferences of new vs. repeat customers. This revealed that new customers mostly opted for basic grooming services like Eyebrow Threading, Waxing, and Hair Trimming. These were usually trial services, indicating limited initial spending by first-time customers.

A pivot table analysis comparing new and repeat customers across services showed that repeat customers dominated usage across all service categories. The number of new customers was disproportionately low across months and services, suggesting that the business had not yet built a strong funnel to attract or retain new clients beyond entry-level services.

These patterns confirmed that the business faced a gap in customer acquisition, with new customer inflow limited to low-value services and lacking sustained conversion into long-term clients. Without targeted strategies to expand this base, long-term growth would remain limited.

Problem Statement 3: Frequent Customer Bargaining

To understand how customer bargaining impacted revenue, multiple analyses were conducted. A Service-wise Pricing Behavior Analysis was performed using a cleaned dataset where actual paid amounts were compared against the predefined price list range. It revealed that many beauty services were priced below the minimum threshold, indicating frequent customer-induced bargaining. The top 10 most bargained services were identified based on how often they were paid for below the minimum expected price. Services like Eyebrow Threading, Hair Coloring, and Color Apply consistently showed significant underpricing, highlighting a trend of routine discounts offered, likely under pressure from customers.

In addition to service-specific trends, a Customer Type vs Bargaining Table showed that repeat customers were more likely to negotiate prices, contributing to inconsistent pricing. This pattern suggested that over-familiarity or leniency with regular customers might have led to repeated revenue leakage, particularly in beauty services.

A final Revenue Loss Estimation was carried out to quantify the financial impact of bargaining. This analysis measured the difference between the actual amount paid and the minimum price set for each service. The total estimated loss amounted to ₹32,070 from beauty services, whereas tailoring services showed a negligible loss of ₹280. The contrast indicated that strict pricing enforcement in tailoring had effectively protected its profitability. As noted through owner insights, bargaining was not entertained in tailoring due to the complexity and effort involved in custom work, which justified fixed pricing. This reinforced the idea that enforcing pricing discipline could significantly reduce revenue leakage in beauty services as well.

Overall, the analysis confirmed that uncontrolled bargaining behavior was a key contributor to lost revenue and profit inconsistency—particularly in beauty services. The results closely

aligned with the problem statement by quantifying the financial burden caused by inconsistent pricing and revealing which services were most vulnerable to negotiation pressures.

5 Actionable Recommendations:

Problem Statement 1: Low Profitability Despite Efforts

Set a strict minimum price for frequently bargained services:

Based on the revenue loss observed from excessive customer bargaining, especially in beauty services, it's important to protect the business from underpricing. A smart move would be to fix a non-negotiable minimum rate for the top 10 most bargained services. This helps avoid loss without completely removing flexibility, as prices can still be adjusted above the minimum when needed. This policy can be gradually introduced over the next 1–2 months and communicated gently to customers as a standard practice.

Create attractive combo packages to increase billing value:

Many services that are high in demand are also low-priced, which drains time and effort without boosting income. Bundling services like pairing facial with waxing or threading with cleanup can encourage customers to spend a bit more without feeling the pinch. These combos can be priced slightly below the combined original price and promoted through posters, WhatsApp status, or word-of-mouth inside the parlour. This could help raise the average billing by 10–15% in the next 3–4 months.

Prioritise high-margin services in promotions and suggestions:

The data showed that some less-frequent services brought in higher income per appointment. The business can subtly guide customers toward these services during consultations or by placing them at the top of the rate chart. Encouraging even 1–2 extra bookings of such services per week could steadily improve margins over time.

Problem Statement 2: Lack of New Customer Inflow

Introduce a "First-Time Customer Offer" on Selected Services:

Since the data clearly showed that repeat customers dominated the visits, offering a small discount (₹30–₹50) or free add-on (like a mini service or product sample) for first-time customers can help break their hesitation and encourage them to try the services. This limited-

time offer can be promoted via WhatsApp or posters near the shop and will serve as an immediate incentive to walk in.

Promote Services Popular Among New Customers through WhatsApp & Local Networks:

The service-wise analysis revealed specific beauty and tailoring services that naturally attracted more new customers. These can be highlighted in simple promotional content — like "Our most loved first-time services!" — shared weekly on WhatsApp status and local women's groups. It ensures the right services are promoted to the right audience, helping to draw in more new faces without extra marketing cost.

Use popular services as lead magnets for new customers:

From the analysis, certain beauty and tailoring services were naturally drawing new customers. These can be used more strategically as "entry-point services" — labelled as "New Customer Favourites" or "Starter Deals" — and promoted regularly to attract attention and first visits.

Problem Statement 3: Customer Bargaining Leads to Revenue Loss:

Introduce a Fixed Minimum Price Policy for Bargained Services:

The analysis showed that services like eyebrow threading, hair colouring, facial, and cleanup were most frequently bargained, leading to notable revenue loss. To address this, the business can implement a sensible minimum price limit for these specific services. This would prevent prices from going below a threshold that harms profitability. Displaying these rates on a printed menu or price board can make the pricing look more professional and reduce the chances of customers negotiating on the spot.

Launch Value-Based Combo Packages Instead of Individual Discounts:

Instead of allowing price cuts on individual services when customers bargain, offering combo packages (e.g., facial + bleach + threading) at a reasonable rate can make customers feel they're getting more value. This approach maintains price consistency while giving customers a deal they can accept happily. It also helps standardise earnings and avoids the risk of undercharging for popular services.